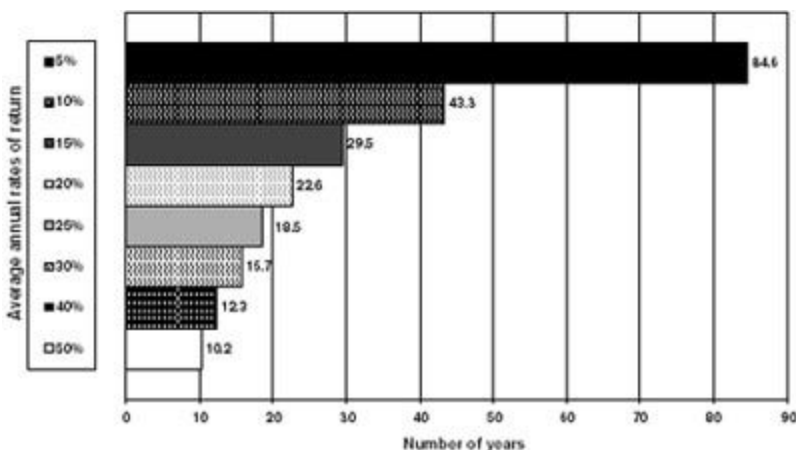


on tiptoe, ready to dart away in the blink of an eye. To keep her symbolically in place, some of Lakshmi's devotees will lash her statue down with strips of fabric or nail its feet to the floor. For the intelligent investor, Graham's "margin of safety" performs the same function: By refusing to pay too much for an investment, you minimize the chances that your wealth will ever disappear or suddenly be destroyed.

Consider this: Over the four quarters ending in December 1999, JDS Uniphase Corp., the fiber-optics company, generated \$673 million in net sales, on which it lost \$313 million. Its tangible assets totaled \$1.5 billion. Yet, on March 7, 2000, JDS Uniphase's stock hit \$153 a share, giving the company a total market value of roughly \$143 billion.² And then, like most "New Era" stocks, it crashed. Anyone who bought it that day and still clung to it at the end of 2002 faced these prospects:

FIGURE 20-2

Breaking Even Is Hard to Do



If you had bought JDS Uniphase at its peak price of \$153.421 on March 7, 2000, and still held it at year-end 2002 (when it closed at \$2.47), how long would it take you to get back to your purchase price at various annual average rates of return?

Even at a robust 10% annual rate of return, it will take more than 43 years to break even on this overpriced purchase!